Education

One-page brief

Priority: 22 of 33 (score 2.7). **FY2026 outlays:** $135B (USAspending). **As of:** 2026-10-27 (first written 2026-10-25). Public data only.

Bottom line

Education's measured error rates are low (about 1% for Pell and Direct Loans), but "ghost student" identity fraud is real and growing. The department says ID checks saved about $1B. Public data are school-level, so we can flag the colleges most exposed, not the fake students.

Exposure

- Pell Grant: 1.07% improper in FY2025 (down from 2.64%). Direct Loan: 0.99%. (PaymentAccuracy.gov)
- The department credits mandatory government ID checks with about $1B in savings; before them, under 1% of students were verified. Minnesota alone reported $12.5M in student aid fraud. (CBS Austin, Apr 2026)

Public data we can use

- **FSA Data Center:** Title IV volume by school, program reviews, and the Heightened Cash Monitoring list.
- **College Scorecard** and **IPEDS** (enrollment, online share, completion).
- **Education OIG reports** and DOJ releases.

Detection plays

1. **Ghost student exposure:** colleges, mostly online community college programs, where aid volume jumps while completion and retention fall.
2. **School risk:** schools on cash monitoring, with sanctions, or with owners tied to closed schools.

First prototype

A school-level ghost student risk ranking, validated against colleges named in news and OIG cases.

Limits

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Student-level data are protected by privacy law and will not be public. Real detection needs a pilot with FSA.

Who to take it to

Federal Student Aid (Enforcement), and Education OIG.

Related briefs

nsf.pdf (research award screen), treasury.pdf (AOTC education credit).

Sources

- PaymentAccuracy.gov: Education
- CBS Austin: Education says ID checks saved $1B